

Karur Vysya Bank (NSE: KARURVYSYA)

Initiating coverage: best-in-class quality, but the price already treats FY26 as normal

Rating: **HOLD**

12-month fair value:
Rs300

CMP (30-Sep-26):
Rs325

Downside: **-8%**

Probability-weighted:
Rs283

Investment summary

A transformed bank. Gross NPA fell from 5.96% (FY22) to 0.75% (FY26) with 96.5% provision coverage, and ROE reached ~19%. Q1 FY27 was stronger still: profit +45% YoY, ROA 2.11%.

But FY26 profits were flattered. Recoveries from written-off loans added Rs679cr to FY26 other income (Rs638cr in FY25), about 40 bp of post-tax ROA. Management has signalled these cannot recur indefinitely; as they fade we see sustainable ROE of ~17%, not 19-20%.

Margins are near a cyclical high. Q1 FY27 NIM was 4.26% against FY27 guidance of 3.75-3.80%. Repo-linked loans (55%) help if RBI hikes, but CASA has slipped from 33.2% (FY23) to 27.6%.

Valuation leaves little room. At 1.75x Sep-27E adjusted book, the price implies a sustainable ROE of ~17.4% or a cost of equity of ~13.2%. Our P/ABV and residual income blend gives Rs300. Bull Rs372 (+14%) vs bear Rs159 (-51%): the skew is negative. Nearer Rs260 (~1.5x FY27E ABV) the base case would offer ~15% upside.

Key data

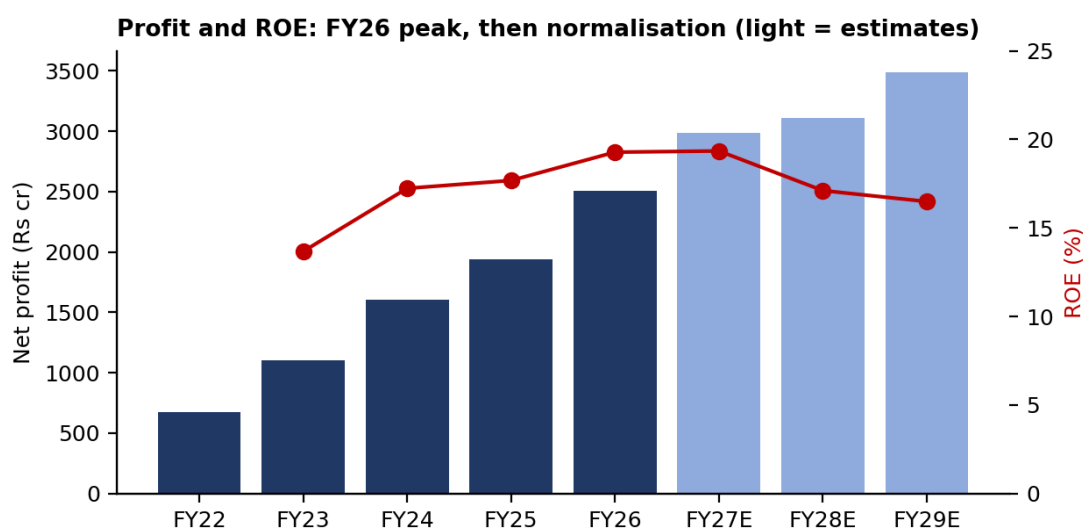
Market cap	Rs31,364cr
Shares (post 1:5 bonus)	96.5cr
52-week range	Rs208-359
P/E FY27E / FY28E	10.5x / 10.1x
P/ABV Sep-27E	1.75x
FY26 ROE / ROA	19.1% / 1.93%
CRAR (FY26)	18.76%
Dividend yield	0.8%
Next results	15-Oct-2026

Scenario	Value	Upside
Bear (25%)	Rs159	-51%
Base (50%)	Rs300	-8%
Bull (25%)	Rs372	14%

Key financials (Rs crore)

Year to March	FY25	FY26	FY27E	FY28E	FY29E
Net interest income	4,260	4,938	5,769	6,563	7,497
Pre-provision operating profit	3,213	4,075	4,575	5,025	5,663
Net profit	1,942	2,510	2,990	3,114	3,491
EPS (Rs)	20.1	26.0	31.0	32.3	36.2
Adjusted book value / share (Rs)	121.9	144.3	171.4	199.2	230.6
ROA	1.73%	1.96%	2.02%	1.82%	1.77%
ROE	17.7%	19.3%	19.3%	17.1%	16.5%
P/E at Rs325 (x)	16.1x	12.5x	10.5x	10.1x	9.0x
P/ABV at Rs325 (x)	2.67x	2.25x	1.90x	1.63x	1.41x

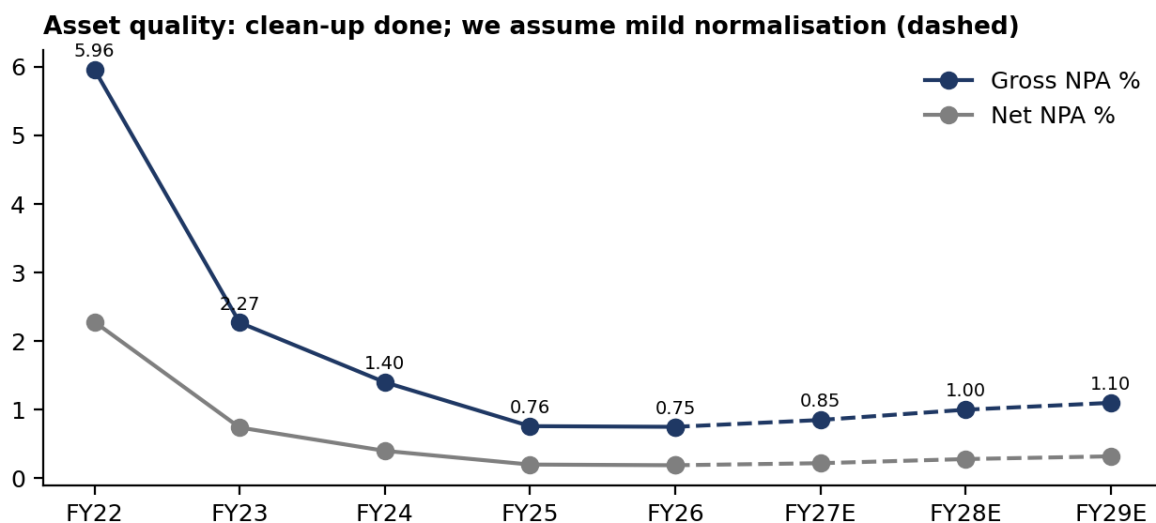
Source: company filings, Screener.in, analyst estimates. ROA/ROE on model averages; EPS on 96.5cr shares. Student research exercise: not investment advice; the author is not a SEBI-registered research analyst.



1. Investment thesis

1.1 From turnaround to top quartile

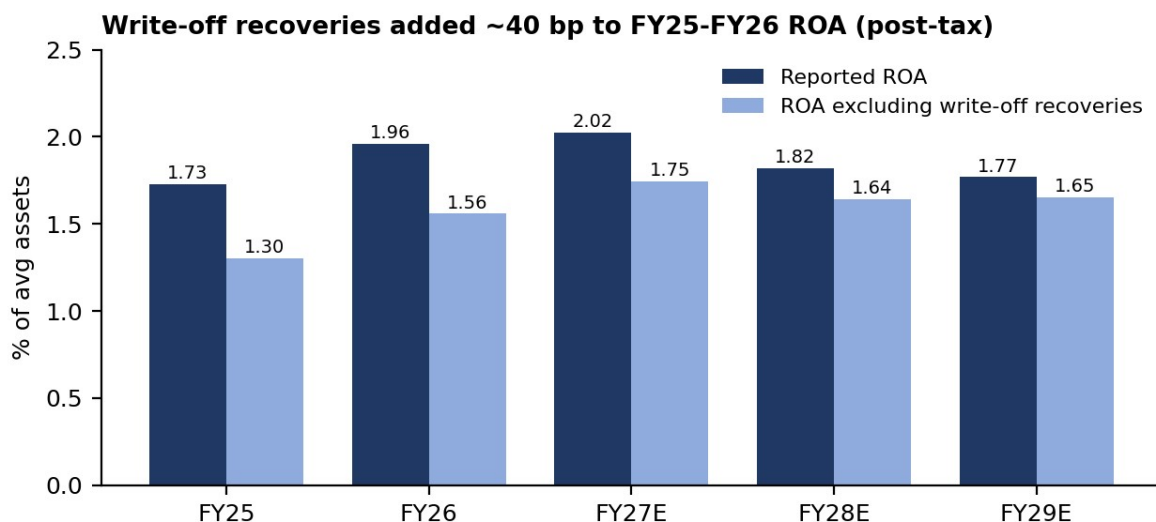
KVB spent FY19-FY22 cleaning up a corporate and MSME book. Gross NPA has since fallen to 0.75% and net NPA to 0.19%, with a provision coverage ratio of 96.5%. FY26 slippages were Rs744cr (0.75% of loans) and FY26 provisions included a Rs163cr prudential buffer. The book is now granular: retail, agriculture and MSME (RAM) are 86% of loans, unsecured lending is only 1.81%, and gold loans are ~30% (internal cap 35%).



We assume a mild normalisation: gross NPA drifting to 1.10% by FY29E and credit cost rising from 0.55% (FY27E) to 0.70% as the RBI expected-credit-loss (ECL) framework arrives. Management expects minimal ECL impact (provisions already 1.77% of advances), and guides to credit cost below 1%.

1.2 The recovery tailwind fades

Recoveries from loans written off in earlier years were Rs638cr in FY25 and Rs679cr in FY26, booked in other income. They are real cash, but they come from a finite pool. Excluding them, FY26 ROA was ~1.56%, not 1.96% (model basis). We forecast recoveries of Rs550cr / Rs400cr / Rs300cr for FY27E-FY29E.



Our FY27E ROA of 2.0% is above the 1.7-1.8% guidance because Q1 ran at 2.11%; we assume the guided normalisation arrives in FY28E (1.82%). The result is the key debate for the stock: **FY28E EPS grows only ~4%** as recoveries fall, credit cost rises and NIM eases.

1.3 Margins: the rate cycle helps now, deposits hurt later

Q1 FY27 NIM was 4.26% (yield on advances 10.01%, cost of deposits 5.45%). About 55% of loans are linked to the external benchmark (repo) rate, 29-30% are fixed and 14% MCLR-linked, so an RBI hike lifts yields quickly: the 10-year G-sec is ~7.1% and markets expect tightening. The structural headwind is funding: CASA fell from 33.2% (FY23) to 27.6% (Q1 FY27). Our calculated NIM (on loans plus investments) eases from 4.17% in FY27E to 4.04% in FY29E.

1.4 Growth is healthy, capital is ample

Advances grew 17.1% YoY in Q1 FY27 to Rs1,04,680cr; management guides 1-2% above industry growth, with 50 new branches in FY27 and no capital raise. We model 17% / 16% / 15% loan growth; our estimated CRAR stays near 19% through FY29E.

2. Business snapshot

Founded in 1916 in Karur, Tamil Nadu, KVB is a mid-size old private-sector bank with deposits of Rs1,22,587cr and a CASA ratio of 27.6% (Q1 FY27).

Loan mix, Q1 FY27	Rs crore	Share
Commercial	36,459	34.8%
Personal (incl. jewel loans)	27,770	26.5%
Agriculture	26,095	24.9%
Corporate	14,356	13.7%
Total advances	104,680	100%

Loan pricing: EBLR (repo-linked) 55%, fixed 29-30%, MCLR 14%. Gold loans ~30% of the book across segments.

3. Five-year track record

Rs crore	FY22	FY23	FY24	FY25	FY26
Advances	57,568	64,168	74,423	84,491	98,754
Deposits	68,486	76,638	89,113	102,078	115,666
Net interest income	2,716	3,349	3,818	4,260	4,938
Other income	769	1,159	1,649	1,830	2,084
of which write-off recoveries	–	–	–	638	679
Operating expenses	1,855	2,032	2,638	2,877	2,947
Pre-provision profit	1,630	2,476	2,829	3,213	4,075
Provisions	699	1,039	729	622	755
Net profit	673	1,106	1,605	1,942	2,510
Gross NPA	5.96%	2.27%	1.40%	0.76%	0.75%
Net NPA	2.28%	0.74%	0.40%	0.20%	0.19%
Provision coverage	80.3%	92.1%	94.8%	96.8%	96.5%
CASA ratio	–	33.2%	30.4%	27.3%	26.9%
Cost-to-income	53.2%	45.1%	48.3%	47.2%	42.0%
ROA (model basis)	–	1.30%	1.64%	1.73%	1.96%
ROE	–	13.7%	17.2%	17.7%	19.3%

4. Forecasts and key assumptions

Driver	FY27E	FY28E	FY29E	FY27 guidance
Advances growth	17%	16%	15%	1-2% above industry
Deposit growth	16%	15.5%	15%	-
NIM (calc., loans + investments)	4.17%	4.08%	4.04%	3.75-3.80% (reported basis)
Cost-to-income	42.3%	43.0%	42.9%	<50%
Credit cost	0.55%	0.70%	0.70%	<1%
Write-off recoveries (Rs cr)	550	400	300	Not guided
Gross NPA	0.85%	1.00%	1.10%	<1.5%
ROA	2.02%	1.82%	1.77%	1.7-1.8%
ROE	19.3%	17.1%	16.5%	-
CRAR (estimate)	19.1%	19.0%	18.8%	No capital raise
EPS (Rs)	31.0	32.3	36.2	-

NIM is calculated on average loans plus investments, a narrower base than the reported figure (FY26 reported 3.97% excluding one-offs), so compare trends rather than levels.

5. Valuation: fair value Rs300

Banks are valued on book value because their raw material is capital. A bank that earns a return on equity (ROE) above its cost of equity (Ke) deserves to trade above book. We use the Gordon growth identity, **justified P/ABV = (ROE - g) / (Ke - g)**, applied to September-2027 adjusted book, and cross-check with a residual income (RI) model that values the bank as book value plus the present value of returns above Ke. We weight them 70/30.

Input / output	Value	Comment
Risk-free rate	7.10%	10-year G-sec, Sep-2026
Beta x equity risk premium	1.0 x 6.5%	Market-like risk
Cost of equity (CAPM)	13.6%	Rf + beta x ERP
Long-term growth (g)	8.5%	Below nominal GDP
Sustainable ROE	16.8%	Average FY28E-FY29E
Justified P/ABV	1.63x	(ROE - g) / (Ke - g)
Adjusted book value, Sep-27E	Rs185.3	Average of FY27E and FY28E
Value: P/ABV method	Rs302	70% weight
Value: residual income method	Rs297	30% weight
12-month fair value	Rs300	vs CMP Rs325: -7.7%

5.1 What the price implies

At Rs325 the stock trades at 1.75x Sep-27E adjusted book. Solving the same formula backwards, that multiple is justified only if sustainable ROE is ~17.4% (we assume 16.8%) or if investors accept a cost of equity of ~13.2% (we use 13.6%). The gap is small, which is why we rate the stock HOLD rather than SELL: the market is not wrong about quality, it is simply paying for FY26 returns lasting.

5.2 Sensitivity

Value per share (Rs), P/ABV method: cost of equity (rows) x long-term growth (columns)

Ke \ g	7.5%	8.0%	8.5%	9.0%	9.5%
12.6%	338	355	375	401	436
13.1%	308	320	334	353	376
13.6%	283	291	302	314	330
14.1%	261	267	275	283	294
14.6%	243	247	252	258	265

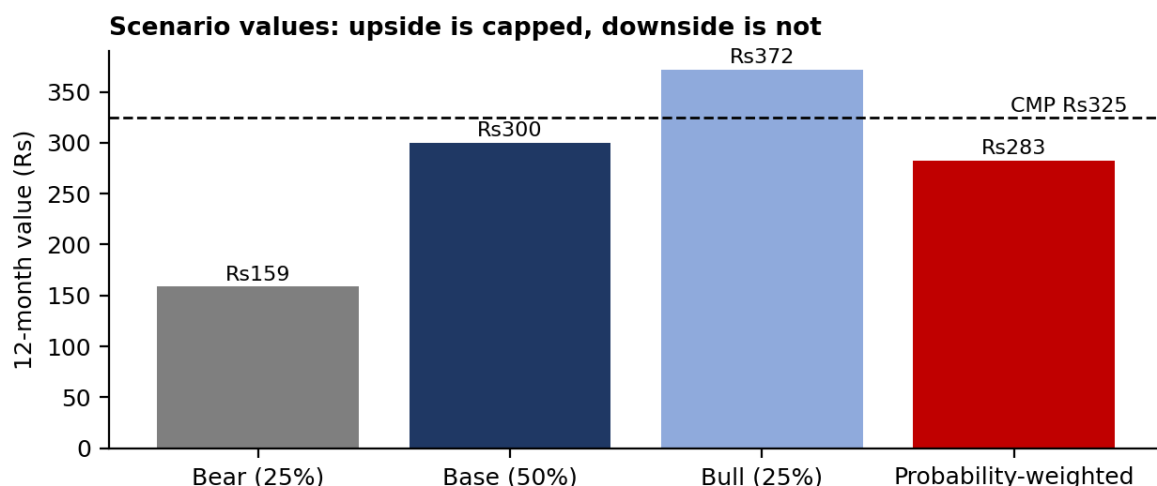
Value per share (Rs): change in NIM (rows, bp) x change in credit cost (columns, bp), FY28E basis

NIM \ credit cost	-20	-10	0	+15	+30
-30	267	248	229	201	173
-20	291	272	253	225	197
-10	315	296	277	249	221
0	339	320	302	274	246
+10	363	344	326	298	270
+20	387	368	350	322	294

A 10 bp change in NIM moves value by ~Rs24; a 10 bp change in credit cost moves it by ~Rs19. Both are first-order estimates holding the FY28E balance sheet constant.

5.3 Scenarios

	Bear	Base	Bull
Loan and deposit growth vs base	-4 pp	base	+2 pp
Yield on earning assets vs base	-15 bp	base	+10 bp
Credit cost vs base	+30 bp	base	-10 bp
Write-off recoveries	x0.6	base	x1.2
FY28E net profit (Rs cr)	2,335	3,114	3,506
FY28E ROA	1.44%	1.82%	2%
FY28E ROE	13.5%	17.1%	18.8%
12-month value	Rs159	Rs300	Rs372
Upside / (downside)	-51.2%	-7.7%	14.4%
Probability	25%	50%	25%



The bear case is not a crisis: credit cost of 0.85-1.00% is still within guidance. It falls hard because value is non-linear in ROE: at a 13.5% ROE, close to the 13.6% cost of equity, a bank is worth roughly its book value. That asymmetry, not a weak franchise, is the reason for caution.

5.4 Relative valuation

Bank	P/E (TTM, x)	Q1 FY27 profit growth
Karur Vysya Bank	11.2	44.9%
City Union Bank	15.2	25.1%
Tamilnad Mercantile Bank	9.5	35.0%
South Indian Bank	8.4	17.3%
Karnataka Bank	8.5	43.3%
DCB Bank	8.3	35.6%
CSB Bank	8.2	26.5%
Federal Bank (mid-cap)	17.0	36.8%
Median, 10 private banks below Rs35,000cr market cap	9.0	

KVB trades at a ~24% P/E premium to smaller private banks, which its higher ROA supports. Across our 20-bank sample, one-quarter profit growth explains almost none of the variation in P/E (R-squared ~0), which is why we anchor on P/B versus ROE rather than on P/E. Source: Screener.in industry table, 30-Sep-2026.

6. Risks to our view

Upside risks: recoveries stay near Rs600cr a year for longer; RBI hikes keep NIM above 4.2% through FY28; loan growth above 18% with stable credit cost; a re-rating towards City Union Bank-like multiples.

Downside risks: a fall in gold prices (gold loans ~30% of the book) hitting collateral cover; faster deposit repricing or CASA erosion; MSME stress as ECL provisioning starts; RBI rate cuts, which would compress yields quickly on a 55% repo-linked book.

7. What to watch on 15 October 2026 (Q2 FY27 results)

Rs crore (Screener basis)	Q2 FY26 actual	Q1 FY27 actual	Q2 FY27E (model-implied)
Net interest income	1,261	1,422	1,449
Other income	512	442	575

Rs crore (Screener basis)	Q2 FY26 actual	Q1 FY27 actual	Q2 FY27E (model-implied)
Profit before tax	743	1,005	994
Net profit	574	756	745

Q2 FY27E spreads the model's FY27E remainder evenly over Q2-Q4. Signposts: (1) NIM versus 4.26% in Q1; (2) recoveries inside other income; (3) slippages and the gold-loan share; (4) CASA ratio and cost of deposits. A profit clearly above Rs745cr driven by recoveries would test our fade thesis.

Appendix: financial summary (Rs crore)

Year to March	FY24	FY25	FY26	FY27E	FY28E	FY29E
Advances	74,423	84,491	98,754	115,542	134,029	154,133
Deposits	89,113	102,078	115,666	134,173	154,969	178,215
Investments	22,344	23,831	29,020	33,543	38,742	44,554
Net worth	10,040	11,930	14,108	16,799	19,601	22,743
Total assets	105,453	119,368	136,604	158,753	183,558	211,294
Net interest income	3,818	4,260	4,938	5,769	6,563	7,497
Other income	1,649	1,830	2,084	2,166	2,258	2,418
Operating expenses	2,638	2,877	2,947	3,360	3,796	4,252
Provisions	729	622	755	589	873	1,009
Net profit	1,605	1,942	2,510	2,990	3,114	3,491
EPS (Rs)	16.6	20.1	26.0	31.0	32.3	36.2
Book value / share (Rs)	104.0	123.6	146.2	174.1	203.1	235.7
Dividend / share (Rs)	2.0	2.2	2.6	3.1	3.2	3.6
Credit-deposit ratio	83.5%	82.8%	85.4%	86.1%	86.5%	86.5%
Cost-to-income	48.3%	47.2%	42.0%	42.3%	43.0%	42.9%
ROA	1.64%	1.73%	1.96%	2.02%	1.82%	1.77%
ROE	17.2%	17.7%	19.3%	19.3%	17.1%	16.5%

Disclosures and sources

This report is a student research exercise prepared for learning and portfolio purposes by Gaurav Waghmode (FRM Part 1). It is not investment advice or a recommendation to buy or sell any security. The author is not registered with SEBI as a research analyst or investment adviser. Author holding in KVB: [state none / details].

Sources: Screener.in financials, quarterly results and industry table (30-Sep-2026); KVB Q4 FY26 earnings call (7-May-2026); Q1 FY27 results coverage (July 2026); KVB annual reports; Trading Economics (India 10-year G-sec, Sep-2026). Model: KVB_Initiation_Model.xlsx (base case). History from filings; FY27E-FY29E are the author's estimates.